

**JUSTIFICATION AND APPROVAL
FOR OTHER THAN FULL AND OPEN COMPETITION**

Program/Equipment: *Scope supports Experimental flight missions with the Initial Deployment Aegis Guam System (IDAGS), and the Enhanced Deployment Aegis Guam System (EDAGS) Integrated Air and Missile Defense (IAMD) Capability configuration.*

Authority: *10 United States Code 3204(a)(1) as implemented in Federal Acquisition Regulation (FAR) 6.302-1(a)(2), only one responsible source and no other supplies or services will satisfy agency requirements.*

Amount: [REDACTED]; *The contract value is increased from [REDACTED]*

1. Agency and Contracting Activity (FAR 6.303-2(b)(1)).

This Justification and Approval (J&A) for other than full and open competition is for the Missile Defense Agency (MDA), Sea-Based Weapon Systems Program Office (AB) in support of the Aegis Weapon System Program (ABS) supporting Aegis Guam System (AGS) Weapon System. The contracting activity is the MDA/AB Contracting Directorate (ABK). The point of contact for this action is [REDACTED]

This Justification and Approval (J&A) is for the MDA, Sea-Based Weapon Systems Program Office (AB) in support of the Aegis Weapon System Program (ABS) supporting AGS Weapon System Initial Deployment and Enhanced Integrated Air and Missile Defense (IAMD) capabilities. The contracting activity is the MDA/AB Contracting Directorate (ABK). The point of contact for this action is [REDACTED]

2. Nature and Description of the Action Being Approved (FAR 6.303-2(b)(2)).

The intent of this J&A amendment is to extend the period of performance and increase the ceiling for the Lockheed Martin Rotary and Mission System (LM RMS) Aegis Ballistic Missile Defense (BMD) Combat System Engineering Agent (CSEA) sole source contract HQ0851-21-C-0002. The period of performance is being extended from December 31, 2027 to December 31, 2029, which will align the scope through Operational Capabilities List (OCL) of Phased Implementation Plan Increment 11a and support delivery of the Enhanced IAMD capability on or about December 31, 2029. The ceiling increase is due to re-program scope previously planned under the CSEA Next Follow-on J&A 23-0036.

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Approved for Public Release
25-MDA-12043 (20 Mar 25)

[REDACTED]
[REDACTED]
[REDACTED]
[REDACTED]
[REDACTED]

[REDACTED]



[REDACTED]

The approval action authorizes additional scope to subject contract including CSEA actions for the definition, design, development and integration, and testing (including regression testing) of the Aegis BMD Weapon System computer program for AGS. This will leverage the Aegis BMD Weapon System design, development and computer program development associated with Aegis Common Source Library (CSL) at sea and ashore for Aegis BMD Baselines, [REDACTED] programs. The scope includes program management support; program protection; cyber security; system engineering; computer program development; Modeling and Simulation, development of a new launcher interface and non-recurring engineering, integration and testing (to include regression testing) of a new launcher for AGS, as well as the integration and testing (to include regression testing) with HDR-G Radar to deliver a robust IAMD AGS capability. The current action being approved will support the effort through delivery of an Enhanced IAMD capability, anticipated on or about December 31, 2027.

3. Description of the Supplies and/or Services Required to Meet the Agency's Needs (FAR 6.303-2(b)(3)).

The scope of this amendment will include the continuous design, build, development, test, and integration of the AGS with the Vertical Launch System, to interface with the Standard Missile-3 (SM-3) and SM-6 variants, AN/TPY-6 radar, Command, Control, Communications, Computers, and Intelligence (C4I) and Install and Checkout efforts. The scope also includes Program Management, and Systems Engineering required for designing and developing a fully functional containerized, transportable, and self-sustaining operations center to operate, test, conduct training, and execute an experimental flight mission with the 2024 IDAGS system on Guam and the Enhanced IAMD Capability configuration to meet OCL by December 2029 (to include the necessary hardware, software and ancillary equipment to be operational).

Additionally, this amendment addresses cost and new scope for Future Capability Development, AGS cyber security requirements to include AN/TPY-6 under the AB contract to be managed holistically across the Defense of Guam (DoG) Program, and adding the Enhanced IAMD Capability through 2029 previously planned under the CSEA Next Follow-on contract.

This effort includes all requisite CSEA prime contractor work scope including program management support; program protection; cyber security; system engineering; computer program development; Modeling and Simulation, development of a new launcher interface and non-recurring engineering and integration of a new launcher for AGS, and system integration with HDR-G Radar, as well as existing launcher and Command, Control, Communications, Computers, and Intelligence (C4I) systems to support the development and delivery of a robust AGS IAMD capability.

The AGS Weapon System development effort includes the design, development, integration, testing, fielding, and maintenance of the Initial Deployment capability, as well as the additional certification, fielding, and maintenance of the Enhanced Integrated Air and Missile Defense capability. AGS Weapon System development will leverage [REDACTED]
[REDACTED]
[REDACTED], to deliver an Aegis Weapon System (AWS) IAMD capability for AGS. The functionality within the BMD CSL will build from the Weapons System development and solid-state radar integration work already accomplished to provide robust IAMD capability for AGS, meeting the desired schedule timelines.

As outlined in the Table 1 below, the total estimated J&A value for efforts performed by the prime contractor, LM RMS, is [REDACTED]. MDA plans to use Research, Development, Test & Evaluation (RDT &E) and Procurement (PDW) dollars to execute the proposed program.

Table 1

[REDACTED]	[REDACTED]	[REDACTED]	[REDACTED]	[REDACTED]	[REDACTED]	[REDACTED]	[REDACTED]
[REDACTED]	[REDACTED]	[REDACTED]	[REDACTED]	[REDACTED]	[REDACTED]	[REDACTED]	[REDACTED]

The period of performance of the contract modifications is anticipated through December 31, 2027.

Table 2 reflects the updated cost estimate incorporating additional scope and extension of the period of performance through December 31, 2029. The overall estimated value of requirements for this J&A is [REDACTED]

[REDACTED]

[REDACTED]	[REDACTED]	[REDACTED]	[REDACTED]	[REDACTED]	[REDACTED]	[REDACTED]	[REDACTED]	[REDACTED]	[REDACTED]
[REDACTED]	[REDACTED]	[REDACTED]	[REDACTED]	[REDACTED]	[REDACTED]	[REDACTED]	[REDACTED]	[REDACTED]	[REDACTED]

Table 3 depicts the updated cost estimate, which includes additional scope and cost for the following Aegis Guam efforts:

Table 3

<i>Aegis Guam Efforts</i>	
<i>Future Capability Development</i>	
<i>Increased ESLOC projections for WS Development</i>	
<i>Transfer of Cyber Security Requirements (SN)</i>	
<i>IDAGS Site Security</i>	
<i>FCS Relocation</i>	
<i>IDAGS Mission Module Storage at PTC</i>	
<i>EDAGS Replan Efforts</i>	

Table 4 below reflects the J&As that have been executed against the contract. An aggregate total value of J&As is [REDACTED]. The current J&A for approval will add an additional [REDACTED] which will increase the total aggregate J&A value to [REDACTED] for the contract.

Table 4
Previous J&As for Contract.

<i>J&A Number</i>	<i>Date Approved</i>		
18-0019	September 6, 2018		
21-0019	August 20, 2021		
22-0027	October 19, 2022		
23-0005	December 19, 2022		
23-0010	July 17, 2023		

4. Statutory Authority Permitting Other than Full and Open Competition (FAR 6.303-2(b)(4)).

The statutory authority permitting other than full and open competition is 10 U.S.C. 3204(a)(1) as implemented by FAR 6.302-1(a)(2)(iii), only one responsible source and no other supplies or services will satisfy agency requirements.

5. Demonstration of Contractor's Unique Qualifications or the Nature of the Acquisition Requires use of the Authority Cited (FAR 6.303-2(b)(5)).

As of this amendment, it remains in the best interest of MDA to award the continuation of these efforts, through completion with LM RMS on the existing HQ0851-21-C-0002 contract to ensure delivery of Phased Implementation Plan Increment 11a technical content to the OCL and support to the Enhanced IAMD capability by December 2029.

LM RMS, and its predecessor companies, has served as the United States Navy's (USN) Aegis CSEA and computer program development source since the Aegis Program inception in 1969, and as the MDA Sea-Based Weapon System CSEA and computer program development source since the SW/AB program's inception. The USN awarded the first MDA/AB contract, N0024-03-C-6110, in 2003. This was followed by a subsequent award on October 1, 2009 for a follow-on sole source contract, HQ0276-10-C-0001; to further work specific to the development of the Aegis BMD 5.1 program. Additional sole source actions awarded two additional level of effort Contract Line Item Numbers (CLIN) and one completion CLIN, through certification in order to continue Aegis BMD 5.1 development in support of the European Phased Adaptive Approach Phase III through 2018. Finally, MDA awarded a sole-source contract, HQ0851-21-C-0002 under CJ&A 18-0019, to LM RMS on October 30, 2020, given a determination that LM RMS was the only responsible source to continue its support of the AWS at that time.

The J&A supporting this decision includes the system engineering, computer program development and test, hardware integration and test, cyber security, program protection, and Modeling and Simulation efforts. Additionally, the Aegis CSL used for previously developed, tested and fielded Aegis BMD baselines as well as [REDACTED] will serve as point of departure for the current AGS computer program development effort. Additionally, AGS has an accelerated schedule to deliver this capability to the Warfighter, fielding the Initial Deployment Capability on Guam. Based on LM RMS's specialized engineering skills and pedigree in Aegis computer program development, test and integration, CSL management, and the specific technical knowledge in program development and sensor integration work associated with [REDACTED] MDA asserts that LM RMS is the sole qualified contractor capable to provide the efforts required for AGS within the extremely accelerated schedule, and at significantly less cost. Awarding this requirement to a new vendor would be [REDACTED] more expensive, more than 100% above the cost for LM RMS to do the same work. Additionally, between the significant loss of schedule caused by bringing a new vendor up to speed on all efforts and methodologies, the system design work and requirements analysis for this effort, the duplicative test equipment purchases, as well as the new infrastructure required will result in an additional 20% reduction in productivity due to loss of learning. It would take approximately 4 years to bring a new vendor up to speed. Based on this analysis, LM RMS is the one responsible source IAW FAR 6.302-1(a)(2) to continue the development and production of the AWS computer program for AGS. It is in the

best interest of MDA to award this work to LM RMS on the existing HQ085121C0002 contract to ensure that the robust IAMD capability required for AGS supporting the FY 2025 and FY 2027 systems/capabilities are delivered.

6. Efforts to Obtain Competition (FAR 6.303-2(b)(6)).

The ABS program will continue to conduct market research biennially and consider the value of corresponding industry days to continually look for competitive off-ramp opportunities after the life of this CSEA contract and the CSEA Next Follow-on contract. Additionally, as stated under the CSEA Next Follow-on J&A 23-0036 the program will continue to engage and collaborate with Program Executive Office for Integrated Warfare Systems on transition strategy to the Integrated Combat Systems agile/digital development construct. ABS will work to develop a technical approach, which includes the implementation of digital transformation tools, agile software development processes, and delivery of white box models and simulations. This technical approach, considered with non-FAR based authorities and tools, will potentially enable MDA/AB to experiment in process and compete requirements among vendors to provide proof-of-concept data to leadership prior to off-ramping and competing requirements that have been sole sourced for a long period. AB intends to begin competition timeline within the next three years targeting the scope to containerize software coding for Aegis Display System and Mission Planner, as well as conducting future studies for system engineering and capability improvements. This timeline allows maturation of the new environment, processes, and teams to definitize cost estimates and statement of work refinements.

7. Determination of Fair and Reasonable Cost (FAR 6.303-2(b)(7)).

In accordance with FAR 15.402, the Contracting Officer (CO) shall ensure that all supplies and services under the contract actions are procured at a fair and reasonable cost. The Contractor will submit a formal price proposal with certified cost or pricing data and sufficient information to support accuracy and reliability of the estimate. A thorough analysis of proposed costs will be conducted to include comparisons of proposed costs to costs experienced on previous contracts with LM RMS in support of the MDA/AB. Additionally; the CO will conduct thorough negotiations to ensure the settlement of fair and reasonable costs that are in the best interest of the Government.

8. Description of Market Research Conducted (FAR 6.303-2(b)(8)).

A Request for Information (RFI) or Sources Sought was not published because the program scope was initially included under the base J&A (23-0005) and the CSEA Next J&A (23-0036), where the scope for Enhanced IAMD Capability was initially planned. The computer program development integration with the AGS development was included. With the Program's uniqueness in utilizing the CSL and leveraging the 5.1.5 Baseline it has been determined that competition is not currently viable due to the nature of the required software

integration of the VLS and AN/TPY-6, but maybe viable for a follow-on effort in a future contract action. Furthermore, under the Market Research for the CSEA Next Follow-on, LM RMS was the only response that was received. The Market Research report was signed on October 18, 2022. On July 19, 2023, the MDA Director, as the Head of the Contracting Activity and in accordance with the Defense Federal Acquisition Regulation Supplement Procedures, Guidance, and Information (DFARS PGI) 206.302-1(d), delegated authority to waive the requirement to post a RFI or Sources Sought Notice to the Director for Contracting. As delegated, CT signature paragraph 16 of this J&A will approve waiving the requirement to post a RFI or Sources Sought Notice for this effort in accordance with DFARS PGI 206.302-1(d).

An updated market research report validating the prior analysis was conducted and the report was signed August 27, 2024 by the PCO. The PCO conducted market research appropriate to the circumstances, which included an internet search to identify any potential industry sources that may have experience in the Program of Record Aegis Weapon System (AWS) development. Results of the internet search did not reveal any new or additional sources capable of meeting the Program's needs. The internet search results are consistent with the experiences of the Contracting Officer Representative (COR) and Product Manager. During the administration of the contract with LM RMS, the COR and Product Manager did not learn of any other companies that were capable of performing the required work. The market research has not revealed any indication or evidence that the market of sources capable of satisfying the Agency's requirements has changed in the past two years, since the Agency conducted the previous market research that resulted in a response from only LM RMS. Based on the updated market research, there are no other suitable sources to perform the Agency's unique requirements.

The AGS Weapon System Market Research Report, signed July 28, 2022, concluded that no contractor, other than LM RMS, possesses the insight, experience, and expertise on the Aegis BMD Program to meet the needs of this effort. A Sources Sought/Notice of Intent announcement (MDA 220623-R5G4) was posted to www.Sam.Gov from July 1, 2022 through July 16, 2022. Requirements included engineering services supporting the design, development, testing and integration of the AGS weapon system; and leveraging existing AWS CSL software and production hardware, to ensure an incremental delivery of AGS on Guam, beginning in FY 2024. It also required development of a new launcher interface and non-recurring engineering and integration of a new launcher for AGS. The Government received responses from two vendors: Northrop Grumman Services Corporation (NGSC) and LM RMS. Analysis concluded that NGSC was unable to meet Aegis Guam requirements based on their limited knowledge of the CSL and their chosen approach to focus on Army interfaces vice unique AWS engineering and integration for the AGS Weapon System. They would be unable to support the complex requirements for AGS and would not be able to support the accelerated schedule for delivery of Initial Deployment Capability in 2024. Further, analysis showed that LM RMS is the one responsible source with the ability to

develop and deliver the AGS Weapon System. This is based on the specialized engineering skills and the specific technical knowledge of LM RMS in the various component system areas that are included for AGS: Aegis CSL development for AWS and [REDACTED], program development and sensor integration work associated with [REDACTED] and complexity and interdependencies of other component programs (HDR-G, MK 70), the MDA asserts that LM RMS is the sole qualified contractor capable to provide the efforts required for AGS within an accelerated schedule and with less cost.

- Aegis Combat System (ACS) hardware and software will be developed in the LM RMS created and managed Aegis CSL and will build directly from Aegis BMD 5.1, which was sole sourced to LM RMS in multiple contract actions.
- AGS will leverage the design and development of the [REDACTED] which also utilizes Aegis CSL for the computer program.
- LM RMS and its predecessor companies, has served as the USN's Aegis CSEA and computer program development source since the Aegis Program inception in 1969. This allows the Government CSL stakeholders to realize significant cost and schedule savings through code reuse. Introducing another design agent for AGS would require a "clone and own" approach of the source code base, which would be a substantial duplication of effort to merge externally-developed source code back into the CSL and those costs would proliferate into life-cycle sustainment and any future development efforts.
- LM RMS currently serves as the CSEA for the USN's AWS in which all Aegis BMD variants are currently integrated.
- LM RMS designed the launcher interface for all MK 41 Vertical Launch System (VLS) configurations for both sea and land configurations.
- LM RMS possesses the unique Aegis BMD system integration knowledge, as well as specialized technical expertise, in-depth background, technical and management knowledge of requirements and processes, resident resources, and access to related Aegis BMD infrastructure.
- Infrastructure includes the geographically co-located government owned Combat Systems Engineering Development Site at which site significant testing occurs.

LM RMS has demonstrated the specialized experience in Aegis BMD system engineering and technical expertise essential to developing the capabilities required for system engineering, computer program development and test, hardware development and test, cyber security, program protection, and Modeling and Simulation efforts, launcher redesign and integration, and HDR-G solid-state radar integration efforts required to deliver the robust IAMD capability for AGS to meet anticipated warfighter needs.

9. Any Other Facts Supporting the Use of Other Than Full and Open Competition (FAR 6.303-2(b)(9)).

The CSL is a unique multi-program development environment where, through the strict configuration management of the source code base, library structure, and program attributes, multiple programs are able to develop and evolve their unique product line portfolios, smoothly and efficiently through each program's life-cycle state. LM RMS is the sole developer and manager/maintainer of the CSL. The USN awarded a sole-source Aegis Fielding and Sustainment (F&S) vehicle (N00024-23-C-5123) to LM RMS to maintain the CSL until 2029. The sole-source contract vehicle was awarded to provide engineering support, software development, in-service maintenance, integration, logistics and fielding support for Aegis combat system configurations already delivered or in the process of being delivered to the USN until calendar year 2029.

[REDACTED]

Aegis BMD capabilities are developed within the CSL that is shared with the USN's AEGIS program. All capabilities are delivered in a single computer program to Aegis class ship and ashore platforms. The CSL is a unique multi-program development environment where through the strict configuration management of the source code base, library structure, and program attributes multiple programs are able to develop and evolve their unique product line portfolios, smoothly and efficiently through each program's life-cycle state. LM is the developer and manager of the CSL.

10. Actions Taken to Remove Barriers to Competition (FAR 6.303-2(b)(11)).

For the reasons stated in paragraphs six and nine above, LM RMS is currently the only source to provide AGS capability. The Government will require the delivery of detailed technical data, computer software documentation and computer software with the appropriate Government Purpose Rights (GPR) in line with paragraph 9 above to include GPR for all required documentation and source code.

The technical data, computer software documentation and computer software will document the configurations developed and tested under this acquisition.

11. Technical/Requirements Official Certification (FAR 6.303-2(c)). “I certify that this justification for other than full and open competition is made in good faith and that the supporting data and information are accurate and complete to the best of my knowledge and belief. I further certify that this request is not the result of a lack of advance planning.”

[REDACTED]

12. Contracting Officer (FAR 6.303-2(b)(12)). “I have determined that the anticipated cost to the Government will be fair and reasonable and certify that the justification is accurate and complete to the best of my knowledge and ability.”

[REDACTED]

13. Legal Counsel. “I have reviewed the justification and determined it to be legally sufficient.”

[REDACTED]

14. Contracting Director (Program Level). “I have reviewed the justification and recommend it be approved.”

[REDACTED]

15. Recommendation of Competition Advocate. “I recommend approval of the above justification.”

[REDACTED]

[REDACTED]

[Redacted]

16. Director for Contracting. “In accordance with DFARS PGI 206.302-1(d), the above RFI waiver is approved. Additionally, I have reviewed the justification and recommend it approved.”

[Redacted]
[Redacted]
[Redacted]

17. Director for Acquisition. “I have reviewed the justification and recommend it be approved.”

[Redacted]
[Redacted]
[Redacted]

18. Approval (FAR 6.304). “In accordance with FAR 6.304, the above justification for other than full and open competition is hereby approved.”

[Redacted]
[Redacted]

[Redacted]

[Redacted]